# Law of Equity and Trusts (EQT1)

Module 4: Classification of Trusts

## Lesson 1: Express Trusts

Lesson Notes

KMVTECHUG
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## Express Trusts – Fixed and Discretionary

An express trust is deliberately created by the settlor. In a fixed trust the beneficiaries and their shares are predetermined; the complete list test applies for certainty of objects. In a discretionary trust the trustees select who benefits and in what shares; the any-given-postulant test applies (McPhail v Doulton).

## Protective and Secret Trusts

A protective trust typically gives a life interest that becomes discretionary on events such as bankruptcy, protecting the beneficiary from improvidence. Fully secret trusts appear as absolute gifts in a will but are held on trust under a prior agreement; half-secret trusts mention a trust but not the objects. Equity enforces them to prevent fraud.

**Key idea:** Express trusts rest on intention, formality and constitution. Classification (fixed, discretionary, protective, secret) affects certainty tests and practical administration.

***Reflect:*** *Why might a settlor prefer a discretionary trust for a family fund?*

## Key Takeaways

- Fixed trusts — predetermined shares; complete list test.
- Discretionary trusts — trustee selection; any given postulant test.
- Protective trusts convert interests on determining events.
- Secret trusts operate outside the will to prevent fraud.

## Quick Revision Checklist

- ☐ I can distinguish fixed and discretionary trusts.
- ☐ I know the correct certainty test for each.
- ☐ I can explain protective trusts in outline.
- ☐ I can distinguish fully secret and half-secret trusts.